EUROPEAN COMMISSION

DG Competition

Case M.11564 – INTERNATIONAL PAPER / DS SMITH

Only the English text is available and authentic.

REGULATION (EC) No 139/2004
MERGER PROCEDURE

Decision on the implementation of the commitments - Purchaser approval

Date: 25/06/2025

EUROPEAN COMMISSION

Brussels, 25.6.2025
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PUBLIC VERSION

In the published version of this decision, some information has been omitted pursuant to Article 17(2) of Council Regulation (EC) No 139/2004 concerning non-disclosure of business secrets and other confidential information. The omissions are shown thus […]. Where possible the information omitted has been replaced by ranges of figures or a general description.

International Paper Company
6400 Poplar Avenue
Memphis, Tennessee 38197
United States of America

Subject: **Case M.11564 – INTERNATIONAL PAPER / DS SMITH**
Approval of the Palm group as purchaser of International Paper Saint-Amand SAS (France), International Paper Cabourg SAS (France), International Paper Mortagne SAS (France), International Paper Cartovar, S.A. (Portugal), and Cartonajes Vizcaya, S.L.U. (Spain) following your letter of 6 June 2025 and the Trustee's opinion of 11 June 2025

Dear Sir or Madam,

1. FACTS AND PROCEDURE

(1) By decision of 24 January 2025 (the 'Decision') based on Article 6(1)(b) in conjunction with Article 6(2) of Council Regulation No 139/2004, ([1]) the Commission declared the operation by which International Paper Company ('International Paper', 'IP' or the 'Notifying Party', United States) acquired, by way of purchase of shares, sole control over DS Smith Plc ('DS Smith' or 'DSS',

([1]) OJ L 24, 29.1.2004, p. 1 (the 'Merger Regulation'). With effect from 1 December 2009, the Treaty on the Functioning of the European Union ('TFEU') has introduced certain changes, such as the replacement of 'Community' by 'Union' and 'common market' by 'internal market'. The terminology of the TFEU will be used throughout this decision.

United Kingdom) within the meaning of Article 3(1)(b) of the Merger Regulation (the 'Transaction') compatible with the internal market subject to conditions and obligations described in the Annex of the Decision (the 'Commitments'). IP and DSS are hereinafter jointly designated as the 'Parties'.

(2) In particular, under the Commitments IP undertakes to divest to an independent and suitable purchaser:

(a) Three IP plants located in Normandy, France, namely: a box plant in Saint-Amand, a box plant in Mortagne, and a sheet plant in Cabourg (owned by IP's French subsidiaries International Paper Saint-Amand SAS, International Paper Mortagne SAS, and International Paper Cabourg SAS, respectively), all of which manufacture and supply conventional corrugated cases, and which shall be sold together to a single purchaser;

(b) IP's box plant in Ovar, Portugal, which manufactures and supplies conventional corrugated sheets (owned by IP's Portuguese subsidiary International Paper Cartovar, S.A.); and

(c) IP's box plant in Bilbao, Spain, which manufactures and supplies heavy-duty corrugated sheets (owned by IP's Spanish subsidiary Cartonajes Vizcaya, S.L.U.).

Each of these plants will be designated hereinafter as 'Divestment Business' or, jointly, as 'Divestment Businesses'.

(3) The Divestment Businesses include, in particular, all assets and staff, to the extent they contribute to the current operation or are necessary to ensure the viability and competitiveness of the Divestment Businesses, in particular:

(a) all tangible and intangible assets (including products under development and related rights, intellectual property rights, and know-how);

(b) all licences, permits and authorisations issued by any governmental organisation for the benefit of the Divestment Businesses;

(c) all contracts, leases, commitments, and customer orders of the Divestment Businesses; all customers, credits, and other records of the Divestment Businesses; all cooperation agreements with third parties; and

(d) all staff currently employed by the Divestment Businesses, including staff seconded to the Divestment Businesses, shared personnel as well as the additional personnel listed in the Schedule of the Commitments.

(4) The Commitments also include the benefit, for a transitional period, on terms and conditions equivalent to those at present afforded to the Divestment Businesses, of the current arrangements under which IP or its affiliated undertakings supply products or services to the Divestment Businesses or of any other current or new arrangements which are necessary for the viability of the Divestment Businesses, unless otherwise agreed with the purchaser and with the approval of the Commission. These include the supply of corrugated case materials ('CCM'), centrally procured sourcing (such as energy, insurance policies, starch, and ink), and services (such as IT systems, payroll and finance services) by IP to the Divestment Businesses, under the terms described in the Commitments.

(5) In addition, the Notifying Party undertakes, subject to customary limitations, not to solicit the key personnel transferred with the Divestment Businesses and necessary to maintain the viability and competitiveness of the Divestment

Businesses, for a period of 3 years after closing of the purchaser's acquisition of the Divestment Businesses.

(6) Moreover, for a period of 10 years after closing of the acquisition of the Divestment Businesses, the Notifying Party undertakes not to acquire, directly or indirectly, in whole or in part, the Divestment Businesses.

(7) Furthermore, the Commitments provide that the following criteria have to be met: (i) the purchaser of the Divestment Businesses shall be independent and unconnected to the Notifying Party and its affiliated undertakings, (ii) the purchaser shall have the financial resources, proven expertise, and incentive to maintain and develop the Divestment Businesses, (iii) the purchaser shall have a preexisting footprint in the paper industry in the EEA or in the United Kingdom (with plans for expansion in the EEA), in particular in the production of corrugated sheets and/or cases, and (iv) the purchase shall not be likely to create *prima facie* competition concerns.

(8) Finally, the Notifying Party has entered into related commitments regarding, *inter alia*, (i) the separation of the Divestment Businesses from their retained businesses, (ii) the preservation of the viability, marketability, and competitiveness of the Divestment Businesses, and (iii) the appointment of a monitoring trustee and, if necessary, a divestiture trustee.

(9) By letter of 6 June 2025, IP proposed the Palm group of companies, ultimately owned by the holding company Palm Papier GmbH & Co. KG ('Palm', Germany), for approval by the Commission as the purchaser of the Divestment Businesses (the 'Reasoned Proposal') and submitted a copy of the proposed Sale and Purchase Agreement (the 'Proposed Agreement'). ([2])

(10) On 11 June 2025, Advolis SAS (the 'Trustee', France) submitted an assessment of Palm's suitability as a purchaser (the 'Reasoned Opinion'). The Trustee indicated that Palm fulfils the criteria of the purchaser requirements in Section D of the Commitments attached to the Decision. In the Reasoned Opinion, the Trustee also indicated that, on the basis of the Proposed Agreement, the Divestment Businesses would be sold in a manner consistent with the Commitments.

2. ASSESSMENT OF THE PROPOSAL

2.1. Legal framework

(11) According to paragraph 16 of the Commitments, the Commission has to verify that the Divestment Businesses are being sold in a manner consistent with the Commitments and that the purchaser fulfils the purchaser criteria. According to paragraph 15 of the Commitments, in its assessment of the proposed purchaser, the Commission should ensure that:

(a) The purchaser is independent of and unconnected to the Notifying Party and its affiliated undertakings.

(b) The purchaser has the financial resources, proven expertise, and incentive to maintain and develop the Divestment Businesses as viable and active competitive forces in competition with the Parties and other competitors.

([2]) Specifically, the Proposed Agreement is concluded on behalf of Palm by the wholly owned subsidiaries Palm Industrie Beteiligungs-GmbH (Germany) and Seyfert SAS (France).

(c) The purchaser has a preexisting footprint in the paper industry (meaning more than one plant) in the EEA or in the United Kingdom (with plans for expansion in the EEA), in particular in the production of corrugated sheets and/or cases.

(d) The acquisition of the Divestment Businesses by the purchaser is not likely to create, in light of the information available to the Commission, *prima facie* competition concerns or give rise to a risk that the implementation of the Commitments will be delayed. In particular, the purchaser must reasonably be expected to obtain all necessary approvals from the relevant regulatory authorities for the acquisition of the Divestment Businesses.

2.2. Description of the proposed purchaser

(12) Palm is a family-owned business founded in 1872 in Aalen (Germany), ultimately owned by Dr. Wolfgang Palm. With around 4 200 employees and 34 manufacturing plants in Europe, Palm produces CCM, graphic paper, and corrugated packaging. ([3])

2.3. Purchaser criteria

2.3.1. Independence from the Notifying Party and its affiliated undertakings

(13) Under paragraph 15(i) of the Commitments, a suitable purchaser must be independent from and unconnected to the Notifying Party and its affiliated undertakings (this being assessed having regard to the situation following the divestiture).

(14) According to the information provided by the Notifying Party and the Trustee, there are no direct or indirect shareholdings between IP or DSS, on the one hand, and Palm, on the other hand. In addition, Palm does not share any executive or non-executive directors with IP or DSS and has no memberships on the management or supervisory boards of either IP or DSS. ([4])

(15) The Parties and Palm have the following limited commercial relationships:

(a) […] ([5]) […] ([6])

(b) […] ([7])

(c) […] ([8])

(16) The Notifying Party submits that these agreements were concluded in the ordinary course of business:

(a) […]

(b) […]

(c) […] ([9])

(17) The Trustee considers that the commercial relationships between the Parties and Palm will not affect Palm's incentives to compete with IP, as the associated

([3]) Reasoned Proposal, Section 2.
([4]) Reasoned Proposal, paragraph 3.4 and Reasoned Opinion, Section 5.1.1.
([5]) Reasoned Proposal, paragraph 3.5 and Annex 3 and Reasoned Opinion, Section 5.1.2.
([6]) Reasoned Proposal, paragraph 3.5.
([7]) Reasoned Proposal, paragraph 3.6.
([8]) Reasoned Proposal, paragraph 3.7.
([9]) Reasoned Proposal, paragraphs 3.5 to 3.7.

financial flows are insignificant when compared to the overall scale of the operations of both companies. ([10])

(18) The Commission considers, in line with the Trustee's Reasoned Opinion, that the characteristics of the CCM swap agreements are consistent with similar arrangements with other market participants. Moreover, they do not put the Parties in a position to influence Palm given that the latter could supply its box plants with its own CCM or, for grades not produced by its own paper mills, obtain the required volumes through swap arrangements with other suppliers. […].

(19) The Commission therefore concludes that, based on the information provided in the Reasoned Proposal and the Reasoned Opinion, these agreements appear to reflect normal commercial relationships between companies in the paper and packaging industries, not being susceptible of affecting the economic independence of Palm.

(20) On the basis of the information provided by the Notifying Party and taking into account the Reasoned Opinion submitted by the Trustee, the Commission concludes that Palm is independent from, and unconnected to, the Notifying Party and its affiliated undertakings.

2.3.2. Financial resources, proven expertise, and incentive to maintain and develop the Divestment Businesses as viable and active competitive forces

(21) Under paragraph 15(ii) of the Commitments, the Purchaser shall have the financial resources, proven expertise, and incentive to maintain and develop the Divestment Businesses as viable and active competitive forces in competition with the Parties and other operators.

2.3.2.1. Financial resources

(22) In view of the detailed information provided by the Trustee, including on the evolution of Palm's yearly turnover, asset value, equity, net debt, and EBITDA figures between 2022 and 2024, as well as the respective forecasts for 2025-2026, the Commission considers that Palm has the financial resources to maintain and develop the Divestment Businesses as viable competitive forces. ([11])

(23) *First*, Palm's overall size and current financial strength demonstrate that it has sufficient resources to support the Divestment Businesses. In 2024, Palm reported a turnover that is several times higher than the turnover of the Divestment Businesses. ([12])

(24) *Second*, Palm's financial strength translates into a positive operational performance, with a healthy implied EBITDA profitability margin in 2024 that, moreover, has been stable over time. ([13])

(25) *Third*, Palm's financial position and leverage appear to be sustainable. ([14]) This is consistent with the financial analysis carried out by the Trustee, which finds that Palm is unlikely to face financial difficulties, as it has sufficient cash reserves and debt access to further invest in the Divestment Businesses. ([15]) This indicates that

([10]) Reasoned Opinion, Section 5.1.2.
([11]) Reasoned Opinion, page 14.
([12]) Reasoned Opinion, page 14; and Notifying Party's response to Request for Information 9, question 6.
([13]) Reasoned Opinion, page 14.
([14]) Reasoned Opinion, page 19.
([15]) Reasoned Opinion, pages 16-19.

Palm has sufficient headroom to finance ongoing operations and invest in future growth without jeopardising solvency.

(26) *Fourth*, according to the information provided by the Trustee, Palm's previous acquisition in this sector (the 2014 acquisition of the Seyfert group) have resulted in the substantial growth of the acquired business, including its turnover and EBITDA. ([16])

(27) As explained in detail in the Reasoned Opinion, the successful integration of this business was due, in part, to Palm's financial capacity to invest significantly in the Seyfert group between 2014 and 2024. ([17])

(28) On the basis of the information provided by the Parties and taking into account the Reasoned Opinion submitted by the Trustee, the Commission therefore concludes that Palm has the financial resources to maintain and develop the Divestment Businesses as viable and active competitive forces in competition with the Parties and other operators.

2.3.2.2. Proven expertise

(29) In view of the information provided by the Notifying Party and the Trustee, the Commission considers that Palm has the proven expertise to maintain and develop the Divestment Businesses as viable competitive forces.

(30) *First*, Palm is an established operator with sufficient experience in the corrugated packaging industry. Palm was founded in 1872 and is specialized in the production of corrugated case materials, graphic paper, and corrugated packaging. It currently has around 4 200 employees across its three business divisions. ([18])

(31) *Second*, Palm has an international presence, operating in 34 manufacturing locations (including five paper mills and 29 corrugated packaging plants) and two recycling companies, across Germany, France, Italy, the Netherlands, the United Kingdom, and Switzerland. ([19])

(32) *Third*, as described in Section 2.3.2.1 above, its track record suggests that Palm has the required expertise to integrate the activities of the Divestment Businesses. Palm first entered the French market with dedicated local operations by acquiring the Seyfert group in 2014. The data submitted by Palm shows that it managed to successfully integrate the activities of this company. In particular, it appears that Palm would have the necessary expertise to replicate this success in entering the Portuguese and Spanish markets by acquiring the Divestment Businesses. ([20])

(33) On the basis of the information provided by the Parties and taking into account the Reasoned Opinion, the Commission therefore concludes that Palm has sufficient expertise to maintain and develop the Divestment Businesses as viable and active competitive forces in competition with the Parties and other competitors.

([16]) Reasoned Opinion, page 10.
([17]) Reasoned Opinion, page 11.
([18]) Reasoned Proposal, paragraphs 2.1-2.3.
([19]) Reasoned Proposal, paragraph 2.3.
([20]) Reasoned Proposal, paragraph 3.18; and Reasoned Opinion, page 10.

2.3.2.3. Incentive to maintain and develop the Divestment Businesses as a viable and active competitive force

(34) According to information provided by the Notifying Party and the Trustee, the acquisition of the Divested Businesses represents an attractive opportunity of investment for Palm to further expand outside of Germany, consolidate its footprint in France, and enter new markets in Spain and Portugal. ([21])

(35) According to its business plan, Palm expects the consolidated net revenue of the Divestment Businesses to grow in 2025 […]. ([22]) The Commission also notes that the consolidated EBITDA margin of the Divestment Businesses is projected to grow each year until at least 2030. ([23])

(36) To deliver its business plan, Palm plans to make […]. ([24])

(37) According to the Monitoring Trustee, […]. ([25])

(38) In view of the information provided by the Notifying Party and taking into account the Reasoned Opinion submitted by the Trustee, the Commission considers that Palm has a proven incentive to maintain and develop the Divestment Businesses as viable and active competitive forces.

2.3.3. Preexisting footprint in the paper industry in the EEA or in the United Kingdom

(39) Under paragraph 15(iii) of the Commitments, the purchaser shall have an existing footprint (meaning more than one plant) in the paper industry in the EEA or in the United Kingdom (with plans for expansion in the EEA), in particular activities in the production of corrugated sheets and/or corrugated cases.

(40) As mentioned in Section 2.3.2.2, above, Palm is a well-established European manufacturer of paper and corrugated packaging with proven expertise in the EEA and in the United Kingdom. Palm's current operations comprise five paper mills located in Germany, France, and the United Kingdom – producing both graphic paper and CCM – and 29 corrugated packaging plants (19 located in Germany, five in France, two in Italy, one in the Netherlands, one in the United Kingdom, and one in Switzerland). ([26])

(41) The proposed acquisition of five additional plants will further strengthen Palm's position and facilitate its expansion in Europe.

(42) The Trustee considers that Palm is an integrated market operator with a significant presence in Germany and France. Moreover, the Trustee underlines that Palm has already undertaken successful acquisitions in this sector in the past, especially the Seyfert group in 2014. ([27])

(43) In light of the above, the Commission considers that Palm's paper activities in the EEA are sufficient to meet the requirements laid out in under paragraph 15(iii) of the Commitments.

([21]) Reasoned Proposal, paragraph 3.11 and Reasoned Opinion, Section 5.2.3.
([22]) Reasoned Opinion, Annex 2.
([23]) Reasoned Opinion, Annex 2.
([24]) Reasoned Opinion, Section 3.4.
([25]) Reasoned Opinion, Section 3.4 and 5.2.2.
([26]) Reasoned Proposal, paragraph 2.3.
([27]) Reasoned Opinion, page 10.

2.3.4. Absence of prima facie competition problems

(44) Under paragraph 15(iv) of the Commitments, the transfer of the Divestment Businesses to a suitable purchaser must neither be likely to create *prima facie* competition concerns nor give rise to a risk that the implementation of the Commitments will be delayed.

(45) The acquisition by Palm of the Divestment Businesses does not give rise to *prima facie* competition problems. The acquisition of the Divestment Businesses does not create horizontal overlaps between the activities of the Divestment Businesses and Palm in Portugal or in Spain because Palm does not currently operate in these countries. ([28])

(46) Limited horizontal overlaps arise in the local markets in France for the manufacture and supply of corrugated cases. However, as mentioned by the Trustee in its Reasoned Opinion, the combined market shares in the relevant local markets would be less than 10%. ([29]) In addition, Palm's acquisition of the Divestment Businesses gives rise to limited vertical relationships. In both the upstream and downstream relevant markets, however, the combined market shares would remain well below 30%. ([30])

(47) This *prima facie* assessment is based on the information available for purposes of this purchaser approval. The acquisition of the Divestment Businesses by Palm is subject to notification to the French national competition authority, pursuant to the applicable French merger control rules. On 20 June 2025, the French national competition authority unconditionally approved the transaction, following a simplified procedure investigation that is applicable to unproblematic merger cases.

(48) In view of the above, the Commission considers that Palm's acquisition of the Divestment Businesses does not give rise to *prima facie* competition issues and that the transaction is unlikely to lead to implementation delays.

2.3.5. Conclusion on the purchaser criteria

(49) In light of the above considerations and taking into account the Reasoned Opinion submitted by the Trustee, the Commission concludes that Palm meets the purchaser criteria set out in paragraph 15 of the Commitments.

2.4. Assessment of the Proposed Agreement

(50) The Proposed Agreement was signed on 4 June 2025. A draft transitional service agreement ('TSA') and other agreements were scheduled to the Proposed Agreement, including a discrete Share and Purchase Agreement for the sale of the shares of the French Divestment Businesses, which, for tax reasons, will be signed at Closing. ([31])

(51) In line with the Commitments, the scope of the acquisition includes the IP's shares in three plants in Cabourg, Saint-Amand, and Mortagne (France), in the plant in Bilbao (Spain), and in the plant in Ovar (Portugal). In line with the Commitments,

([28]) Reasoned Opinion, Section 5.4.
([29]) Reasoned Opinion, Section 5.4.
([30]) Reasoned Opinion, Section 5.4.
([31]) Reasoned Opinion, Section 4.3.

a non-solicitation clause is included to further ensure Palm's ability to competitively operate in the markets. ([32])

(52) Moreover, in line with the Commitments, the parties to the Proposed Agreement agreed to sign, at Closing, a TSA by which IP will temporarily provide IT, human resources, and finance services to the Divestment Businesses. ([33])

(53) Relevant license and transfer agreements have been drafted to facilitate the seamless transfer of key intellectual property and trademark rights, which are essential for maintaining the functionality and commercial viability of the Divestment Businesses. ([34])

(54) The Monitoring Trustee considers that the Proposed Agreement and the other transaction documents reflect the Parties' obligations set out in the Commitments. ([35])

(55) In light of the above considerations, the Commission concludes that the Proposed Agreement is consistent with the Commitments and that, accordingly, the Divestment Businesses are being transferred in a manner consistent with the Commitments.

3. CONCLUSION

(56) On the basis of the above assessment, the Commission approves Palm as a suitable purchaser for the above-mentioned reasons. On the basis of the Proposed Agreement, the Commission further concludes that the Divestment Businesses are being sold in a manner consistent with the Commitments.

(57) This decision only constitutes approval of the proposed purchaser identified herein and of the Proposed Agreement. This decision does not constitute a confirmation that IP has complied with its Commitments.

(58) This decision is based on Section D of the Commitments attached to the Commission Decision of 24 January 2025.

For the Commission

(Signed)
Olivier GUERSENT
Director-General
Directorate-General for Competition

([32]) Reasoned Opinion, Section 4.3.
([33]) Reasoned Opinion, Section 4.4.
([34]) Reasoned Opinion, Section 4.5.
([35]) Reasoned Opinion, Section 4.6.